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What's News

Business & Finance

- ◆ **Federal Reserve Chairman** Kevin Warsh signaled the central bank may not be done fighting inflation with higher interest rates. **A1**
- ◆ **Warsh's remarks** surprised investors, prompting a sharp increase in short-term U.S. Treasury yields, a more modest rise in longer-term bond yields and declines in major stock indexes. **A1**
- ◆ **Gap's shares soared** after the company said sales rose 10%, a sign the brand is undergoing a renaissance. **B9**
- ◆ **Blockbuster earnings** from CXMT, one of China's biggest memory chip-makers, highlight how companies are cashing in on the AI boom. **B9**
- ◆ **Alphabet's Google** is changing how certain websites with third-party content rank in search results in the EU, a move to appease regulators and avoid a fine. **B10**
- ◆ **Net profit at BYD**, the world's top EV seller, rebounded despite slightly lower revenue in the second quarter. **B10**
- ◆ **Italy's Assicurazioni Generali** says it is willing to consider a \$10.2 billion takeover offer for private bank Banca Generali from rival Monte dei Paschi di Siena. **B10**
- ◆ **The FDA will let Juul** sell a new version of its e-cigarette and tobacco- and menthol-flavored pods. **B10**

Worldwide

- ◆ **The U.S. has rushed** so many munitions to the Middle East to fight Iran that military planners are concerned the loss of firepower is diminishing America's ability to defend against potential threats from China and Russia. **A1**
- ◆ **More than 2,480 people** are missing and at least 584 people are confirmed dead in Nepal and China following Wednesday's flood, as rescue efforts continued. **A7**
- ◆ **Trump confirmed the U.S.** reached a deal with Venezuela to secure a big chunk of the country's oil reserves. **A8**
- ◆ **Defense Secretary** Hegseth is considering inviting hundreds of senior military personnel back for an address at Quantico, where he delivered his "no more beards" speech last fall. **A3**
- ◆ **Icelanders will vote** Saturday on whether to restart EU membership negotiations, a process Reykjavik abandoned more than a decade ago. **A10**
- ◆ **Russia resumed** its drone barrage of Ukraine's Kyiv region, hitting more than a dozen apartment buildings and storage depots. **A7**
- ◆ **Died: King Harald V**, 89, longtime Norway monarch. **A7**

PEGGY NOONAN
Dolly Parton leaves us wanting more. **A15**

JOURNAL REPORT
Travel: Puffin lovers descend on Maine. **R1-10**

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Fed Chairman Kevin Warsh, left, takes a break in the rain Friday with Bank of England Gov. Andrew Bailey, center, and Bank of Canada Gov. Tiff Macklem at the Jackson Hole symposium.

Drug Companies Speed Toward a Patent Cliff

By XAVIER MARTINEZ

Most companies sell a hit product for as long as customers want it. For drugmakers, a clock starts before a drug is even approved: Patents run out, lower-priced copycats flood in and sales collapse. Billions of dollars of annual sales can evaporate, sometimes within a year.

The pharma industry is entering its biggest wave of patent expirations in decades. The world's bestselling drug

in 2025, Merck's cancer immunotherapy Keytruda, loses U.S. patent protection in 2028, and nearly every pharma company has at least one blockbuster drug that will go off patent in the next five years.

It explains why stocks went wild when Moderna and Merck announced their experimental cancer vaccine had succeeded in a major trial. The vaccine could give Merck a new revenue stream to offset the Keytruda cliff. Biotechs like Revolution Medicines,

which had its pancreatic cancer drug approved this week, have attracted takeover interest this year as companies look for partnerships and takeover targets.

The scale of the cliff "is what has driven, and will continue to drive, companies to seek out new growth opportunities," said Greg Graves, a senior partner in the life sciences division of McKinsey.

In all, more than \$500 billion of projected global sales

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Warsh Signals Rate Increase Is on the Table

By NICK TIMIRAO

JACKSON HOLE, Wyo.—Federal Reserve Chairman Kevin Warsh signaled the central bank hasn't ruled out fighting inflation with higher interest rates.

The remarks were his most substantive since he took over this spring, and investors took them as a sign the Fed is more likely to raise rates. Warsh said he saw little sign that borrowing and lending conditions were restraining the economy, and that better inflation readings this summer hadn't convinced him the underlying trend was improving.

"We must be confident that underlying inflation is moving to our objective, clearly and at sufficient speed. Otherwise, we have work to do," he said

Friday in his first speech as Fed chairman, a highly anticipated debut at the Kansas City Fed's annual symposium in Wyoming.

Traders raised the odds of a rate increase next month to just under 60% from 35% on Thursday. Warsh himself stopped short of that, offering no hint about the Fed's next move, in keeping with his approach to how the central bank should communicate less. "I stand here today committed to a discipline, not to a decision," he said.

Major stock indexes ended the day slightly lower, while 10- and 30-year Treasury yields rose slightly.

The White House didn't respond to a request for comment about Warsh's speech.

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Traders Take Note, Bet Hike Is Coming

By SAM GOLDFARB AND HANNAH ERIN LANG

Kevin Warsh keeps flipping the script on markets.

The Federal Reserve chairman surprised investors Friday by signaling greater concern about inflation than many had anticipated, prompting a sharp increase in short-term U.S. Treasury yields, a more modest rise in longer-term bond yields and declines in major stock indexes.

Warsh's suggestion that the Fed might have more "work to do" to fight inflation suddenly

put a September interest-rate increase in play.

Interest-rate futures Friday afternoon showed that traders anticipate a roughly 58% chance that the Fed will raise rates at its next meeting, up from 35% on Thursday, according to CME Group data.

The remarks eased concerns that Warsh might be reluctant to raise interest rates because of pressure from President Trump—a worry that had contributed to a recent rise in longer-term Treasury yields, which play a major role in de-

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INSIDE



EXCHANGE
Dolly Parton and the powering force that built her empire. **B1**



WORLD NEWS
More than 2,480 are missing as Himalayan flood death toll rises. **A7**

Timber Was Southern Gold. Then a Market Collapsed.

Mill closures have axed demand for pulpwood, marking the biggest threat since the fall of King Cotton

By RYAN DEZEMBER

SAVANNAH, Ga.—Bill Howard's family has earned a living from the piney woods of southeast Georgia since 1898, when his great-grandfather and seven great-great uncles started cutting lumber with a portable sawmill.

Over four generations, the Howards built a permanent mill in Statesboro, Ga., and added timberland to feed it. Today the family employs roughly 300 people between the sawmill, two other plants and three builder-supply yards.

The collapse of pulpwood markets in the

region is threatening the prospects of a fifth generation working the woods.

The South, and Georgia in particular, have borne the brunt of a historic run of pulp and paper-mill closures as recycled boxes, cheap imported pulp and more thrifty packing by e-commerce giants, including Amazon.com, have hit demand. Last year, the U.S. shed roughly 10% of its capacity to produce containerboard, the thick paper used to make shipping and moving boxes.

Demand for pulpwood—trees unfit for making lumber but fine for cardboard and paper—plummeted. So did demand for wood

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'Grand Theft Auto VI' Is Going to Be a Work Blackout

After waiting 13 years for a new installment, gamers have deemed it an unofficial holiday

By ASHLEY WONG

Bud Burruss plans to take five days off the week before Thanksgiving. The 36-year-old software engineer won't be traveling far or preparing a feast.

He'll be in his "cave" playing "Grand Theft Auto VI."

"We've got a couple of days where we're like, 'Daddy's very busy,'" said the dad of

three. He'll be locked in Thursday and Friday, then slowly return to parental duties in time for the weekend and holiday.

"I'm not going to be playing it for, like, 20 hours straight like an absentee father. But right out of the gate we're going hard."

When "Grand Theft Auto VI" is released on Nov. 19, it will mark the end of

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Game on

U.S. Arms Drain Increases Worries Over Ability to Deter China, Russia

The U.S. has rushed so many munitions to the Middle East to fight Iran that military planners are concerned the loss of firepower is diminishing America's ability to defend against potential threats from China and Russia, U.S. officials said.

By Shelby Holliday, Michael R. Gordon, and Lara Seligman

The cuts have been so deep the U.S. inventories in Europe of PAC-3 Patriot air defense interceptors and Atacms surface-to-surface missiles are deemed to be "beyond critical," some of the officials said.

The U.S. and Iran have mostly halted direct attacks in recent weeks. But a concern is that refilling weapons stocks moved from countries like Japan, South Korea and Germany could take years, leaving soft spots in the U.S. global military posture even as Western military officials don't assess that full-scale attacks by China and Russia are imminent, officials said.

In addition to Patriot interceptors, other European-based weapons have been drawn down to extremely low levels, including precision-strike missiles and guided rockets, officials said. Thaad antimissile

interceptors and Merops counterdrone systems have also been sent from Europe to the Middle East, further diminishing supplies on the continent.

The shrinking inventories have led the U.S. European Command to adjust its operational plans, officials said. They have also increasingly led administration officials to assess that the U.S. couldn't fully execute contingency plans to defend Taiwan from a Chinese invasion.

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- ◆ **Hegseth weighs address to military leaders**..... **A3**
- ◆ **Xi turns oil into shield against West**..... **A8**